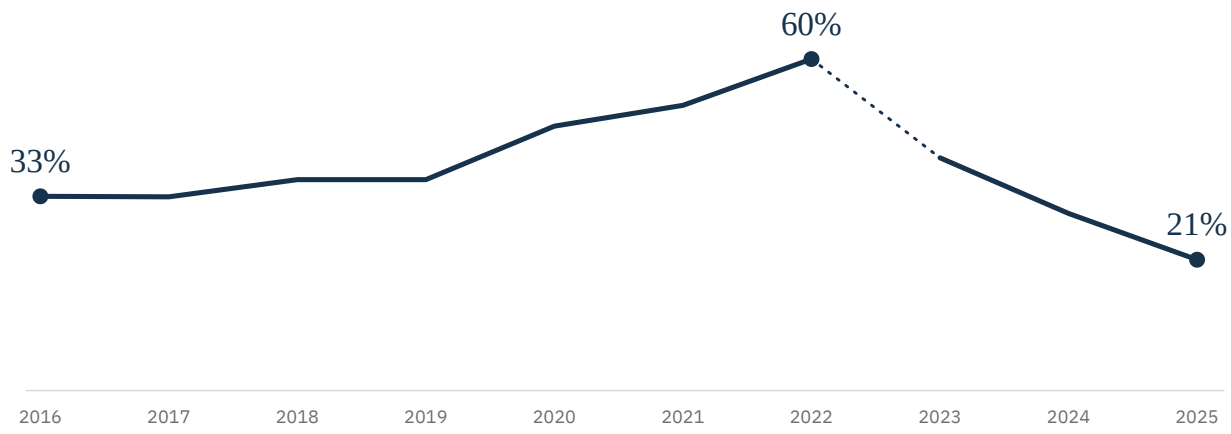
Çimsa's Transformation, 2016–2025

A review of profitability and resilience to external shocks using public data



Energy's share of Çimsa's production cost (%)

Rodi Göze

October 2026

This is an independent review based on the company's published financial reports and public market data. It has no affiliation with Çimsa Çimento Sanayi ve Ticaret A.Ş. and does not constitute investment advice.

Contents

Summary 1

The transformation made Çimsa larger and more international; risk did not fall, it moved

1 Transformation 2

Çimsa changed its corporate structure five times in a decade

2 Profitability 3

The company grew, but its margin did not return to 2016 levels

3 Energy 4

Energy's share of costs fell, but energy risk did not

4 Source of the margin 7

The margin recovery after 2022 came with lower energy costs in cement, not with the new portfolio

5 Currency and debt 10

Foreign revenue did not protect margins in currency shocks; currency risk moved overseas

6 Synthesis 12

The transformation did not reduce risk; it moved it

7 What to watch 14

The outcome will be decided by the overseas businesses in the years ahead

Appendix: Data and methodology 15

Data used, rules followed and data decisions taken

Summary

The transformation made Çimsa larger and more international. Public data do not show, however, that it made the company more profitable or more resilient to energy shocks. Risk has not fallen; it has moved, from a currency gap on the Turkish balance sheet to foreign-currency debt carried by the overseas subsidiaries.

Between 2016 and 2025, Çimsa went through what it describes as a three-way transformation: from cement to building materials, from local to global, and from grey to green. This review asks whether that transformation made the company more profitable and more resilient to energy and currency shocks. It draws on ten years of public data: 40 financial reports, 10 integrated annual reports and market price series. Five findings stand out.

The company grew, but its margin did not return to 2016 levels. The EBITDA proxy in dollar terms rose from USD 121 million to USD 212 million, while gross margin fell from 32% to 20%.

Energy's share of costs fell, but energy risk did not. Energy's share of production cost dropped from a peak of 60% in 2022 to 21%. About half of that decline came with growth in other cost items. Physical energy consumption did not change, and the company's energy cost followed market prices with a lag.

The margin recovery came from the market, not the portfolio. Almost all of the 8.2-point rise in gross margin between 2022 and 2025 came with a better cement margin; the portfolio change contributed –1.2 points. The cement improvement, in turn, came mostly with lower energy cost per tonne, while revenue per tonne declined.

Foreign revenue did not protect margins in currency shocks. With foreign revenue at 45–56% of sales, gross margin fell 9–16 points year on year in quarters of sharp lira depreciation.

Currency risk moved from Türkiye to the overseas subsidiaries. The net foreign-currency position of the Turkish companies turned from −USD 31 million to +USD 20 million. At group level, however, the foreign-currency share of bank loans rose from 15% to 87%, and foreign-currency loans grew from 0.3 to 2.7 times the EBITDA proxy.

The final verdict on the transformation depends on whether the overseas businesses, Mannok and SBS, can service a debt load that is now mostly in euros from their own cash flows. 2025 was Mannok's first full year in the group; the coming years' results will provide the answer.

1

Çimsa changed its corporate structure five times in a decade

In 2016, Çimsa was a cement producer with most of its capacity in Türkiye and around a third of its revenue from exports. By 2025, 64% of its revenue came from outside Türkiye and around a fifth from building materials, and the company was producing white cement in Spain and building materials in Ireland.

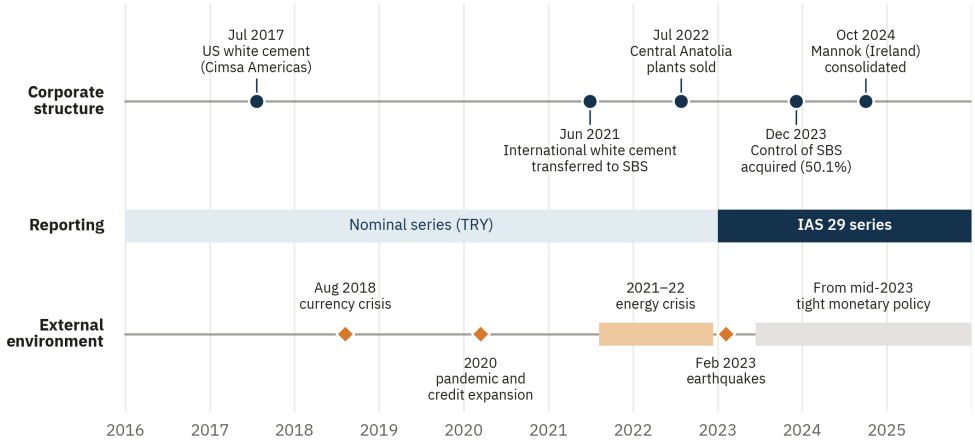
The change came in five steps (see Exhibit 1). In July 2017, the US white cement business, Cimsa Americas, joined the group. In June 2021, the international white cement operations were transferred to SBS. In July 2022, the plants in Niğde, Kayseri and Ankara and the Central Anatolian ready-mix operations were sold. In December 2023, Çimsa took control of SBS with a 50.1% stake. In October 2024, the Irish building materials producer Mannok was consolidated.

Over the same period, the company faced a series of shocks outside its control: the 2018 currency crisis, the 2021–2022 energy crisis, the February 2023 earthquakes and the monetary tightening that began in mid-2023. From the 2023 annual report onward, its financial statements have been prepared under inflation accounting (IAS 29).

Exhibit 1

Çimsa changed its corporate structure five times between 2017 and 2024, while facing currency, energy and earthquake shocks

The company's own description of its transformation: from cement to building materials, local to global, grey to green



Note: 2016–2022 amounts are nominal TRY; from the 2023 annual report onward, IAS 29 (financial reporting in hyperinflationary economies) applies.

Source: Çimsa financial statements and integrated annual reports (2016–2025); analysis.

Did this transformation make Çimsa a more profitable company, and one more resilient to energy and currency shocks?

This report examines the question from four angles. Chapter 2 traces profitability over the decade, Chapter 3 assesses exposure to energy costs, Chapter 4 looks at the source of the post-2022 margin recovery and the effect of the portfolio change, and Chapter 5 examines currency risk and the debt structure. Chapter 6 brings the findings together, and Chapter 7 sets out what to watch next. The data and methodological choices behind the analysis are described in the appendix.

2

The company grew, but its margin did not return to 2016 levels

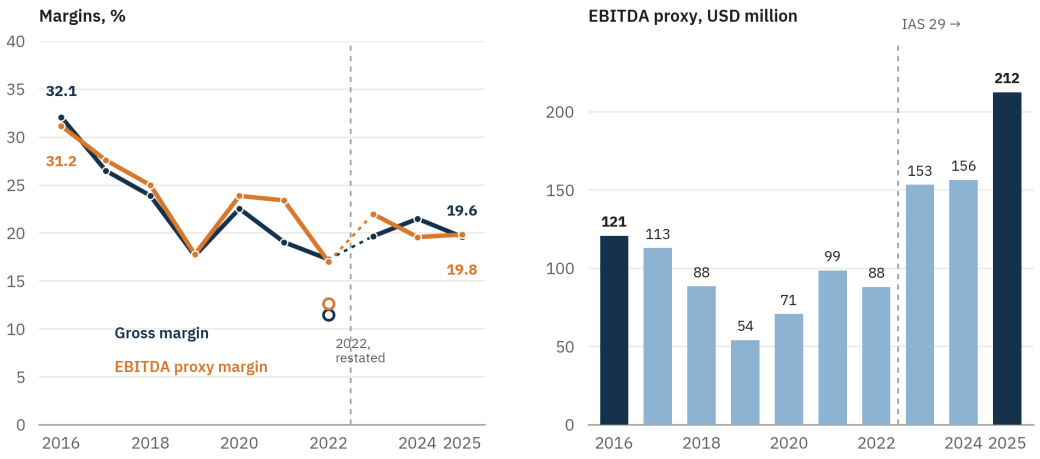
Profit in dollar terms grew substantially. The EBITDA proxy (operating profit plus depreciation and amortisation) fell from USD 121 million in 2016 to USD 54 million in 2019, then rose to USD 212 million in 2025. Revenue in dollar terms grew from USD 387 million to USD 1,071 million over the same period. This growth came as the scope of consolidation widened with SBS and Mannok (see Exhibit 2).

Profitability ratios, however, stayed below 2016 levels. Gross margin fell from 32.1% in 2016 to 17.6% in 2019 and has moved within a 17–23% range since 2020, standing at 19.6% in 2025. The EBITDA proxy margin followed a similar path, from 31.2% to 19.8%. The first outcome of the transformation is therefore mixed: the company is larger, but it earns less on every lira of sales.

Exhibit 2

Gross margin fell from 32% in 2016 to 20%, while the EBITDA proxy in dollar terms grew 1.8 times as the scope of consolidation widened

Margins (%) and EBITDA proxy (USD million)



Note: EBITDA proxy: operating profit + depreciation and amortisation. USD conversion: annual average rate for 2016–2022, year-end rate for 2023–2025.

Source: Çimsa consolidated financial statements (KAP, 2016–2025); analysis. FX: CBRT EVDS.

The chapters that follow look at the dynamics behind this picture: the weight of energy costs on the margin, the source of the margin recovery after 2022 and the changing nature of currency risk.

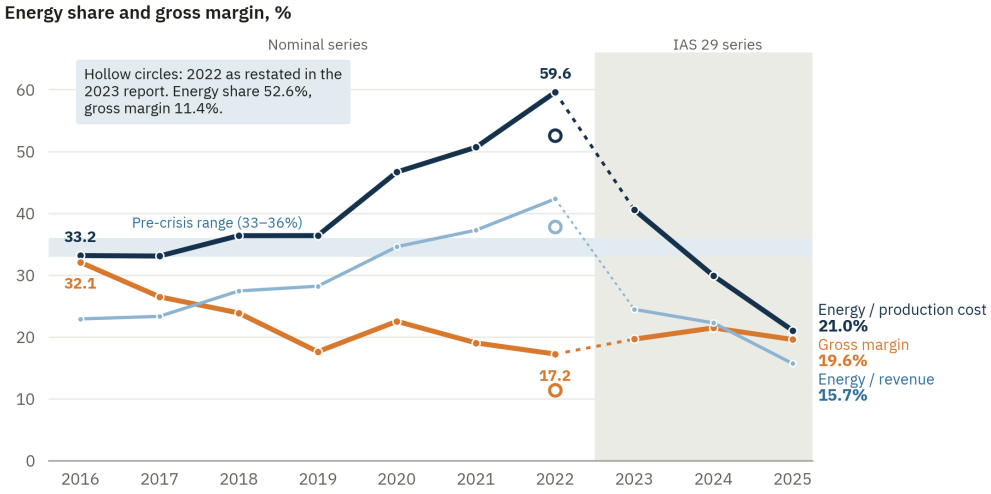
3

Energy's share of costs fell, but energy risk did not

Energy's share fell below its pre-crisis level. Energy accounted for 33–36% of total production cost in 2016–2019, rose to 60% in 2022 and fell to 21% in 2025 (see Exhibit 3). At first sight, this suggests that the move "from grey to green" has paid off on the cost side. Gross margin, however, stayed within a 17–22% range throughout; the steep fall in energy's share was not matched by a comparable rise in margin.

Exhibit 3

Energy's share of production cost fell from its 2022 peak to 21%, while gross margin stayed within a 17–22% range



Note: 2016–2022 nominal, 2023–2025 IAS 29; see Exhibit 1.

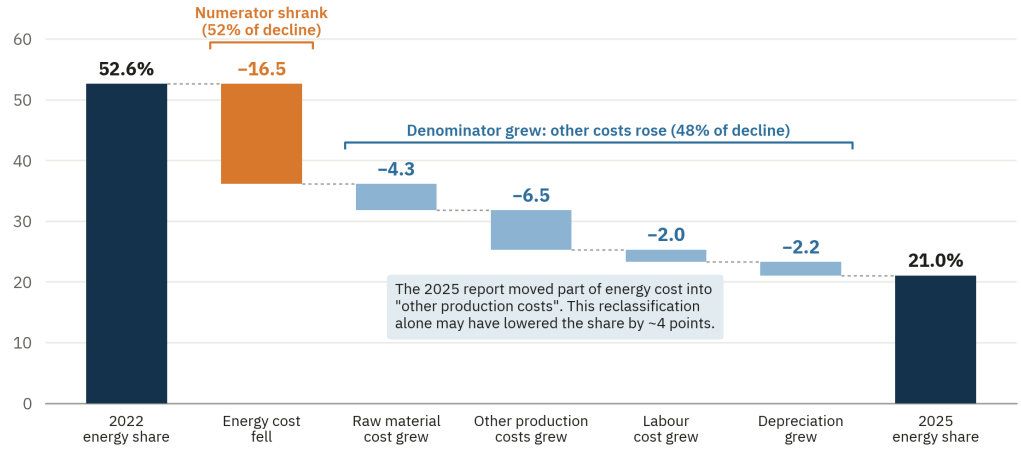
Source: Çimsa consolidated financial statements (KAP, 2016–2025); analysis.

About half of the decline reflects growth in non-energy costs. Energy's share is a ratio: it falls when energy costs decline, but also when other costs grow. Of the drop from 52.6% to 21.0% between 2022 and 2025, 16.5 points came with energy costs roughly halving in real terms. The remaining 15.1 points reflect growth in other cost items: raw material costs rose 50% in real terms and other production costs 200% (see Exhibit 4). In addition, the 2025 report moved part of energy cost into "other production costs"; this reclassification alone may have lowered the share by about 4 points. A lower energy share therefore reflects a wider cost base more than a reduction in energy risk.

Exhibit 4

About half of the fall in energy's share came with lower energy costs, the other half with growth in other cost items

Energy share of production cost (%). The bars in between split the 2022–2025 decline by source (percentage points).



Note: Components allocate the log change in the energy share in proportion to each cost item's contribution. 2022 figures are taken from the 2023 report and restated to December 2025 prices using CPI.

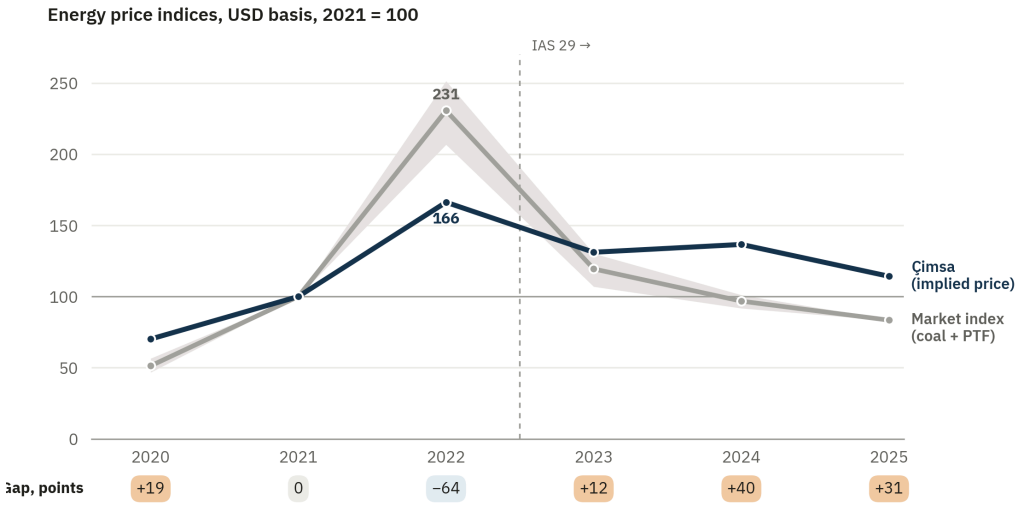
Source: Çimsa consolidated financial statements (KAP, 2016–2025); analysis. CPI: CBRT EVDS.

The company's energy cost follows market prices with a lag and in smoothed form. The implied energy price (energy cost divided by total energy consumption) rose from USD 14 per MWh in 2020 to USD 34 per MWh in 2022 and eased to USD 23 per MWh in 2025. Comparing this series with a market index built from coal and electricity prices reveals a clear pattern. In 2022, the market index rose to 2.3 times its 2021 level, while Çimsa's energy cost index reached only 1.7 times. When prices fell, Çimsa's cost fell less, and in 2024–2025 it stood 31–40 points above the market (see Exhibit 5). How far this pattern reflects long-term contracts, inventory, the price gap between petcoke and coal, or the use of alternative fuels cannot be separated with public data.

> The pattern acts as a buffer in a crisis year, but gives the advantage back in the years that follow: the burden of the shock is not removed, only spread over time.

Exhibit 5

Çimsa's energy cost tracked the market with a lag and in smoothed form: it rose less than the market in 2022 and fell less afterwards



Note: Çimsa index: energy cost / total energy consumption (implied price). Market index: coal (average of Australia and South Africa) and the Turkish day-ahead power price (PTF), weighted by the share of electricity in consumption. Shading: range between the two coal series.

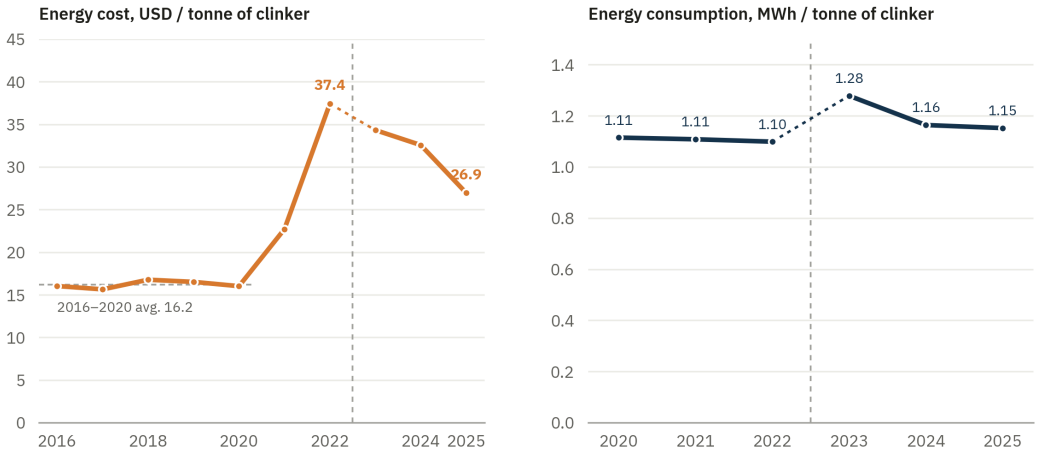
Source: World Bank CMO (Pink Sheet) coal prices; EPİAŞ PTF; CBRT EVDS; Çimsa reports; analysis.

There is no lasting improvement in physical energy efficiency. Energy consumption per tonne of clinker was 1.11 MWh in 2020 and 1.15 MWh in 2025, with no clear downward trend in between. Energy cost per tonne of clinker, by contrast, moved with prices: from a 2016–2020 average of USD 16.2, it rose to USD 37.4 in 2022 and fell to USD 26.9 in 2025, still about 66% above its pre-crisis level (see Exhibit 6). Alternative fuels change where energy comes from, not how much is used. These choices also depend on economic conditions: the alternative fuel rate in grey cement fell from 29% in 2023 to 10% in 2024 before returning to 28% in 2025, a drop the company attributes to economic considerations and supply conditions.

Exhibit 6

Energy cost per tonne of clinker moved with prices, while physical energy consumption barely changed

Energy cost (USD) and energy consumption (MWh) per tonne of clinker



Note: Energy consumption is the group total. Comparable physical consumption data are not available before 2020.

Source: Çimsa consolidated financial statements (KAP, 2016–2025); analysis. Integrated annual reports; CBRT EVDS.

Taken together, these results show that a substantial part of the fall in energy's share coincided with lower energy prices. The investments in alternative fuels, solar power and waste heat recovery have left no visible mark on the cost side: there is no lasting company-specific price advantage and no improvement in physical energy intensity. The drop below the pre-crisis level stands out instead as a product of growth in other costs, the addition of the building materials segment and the 2025 reclassification.

4

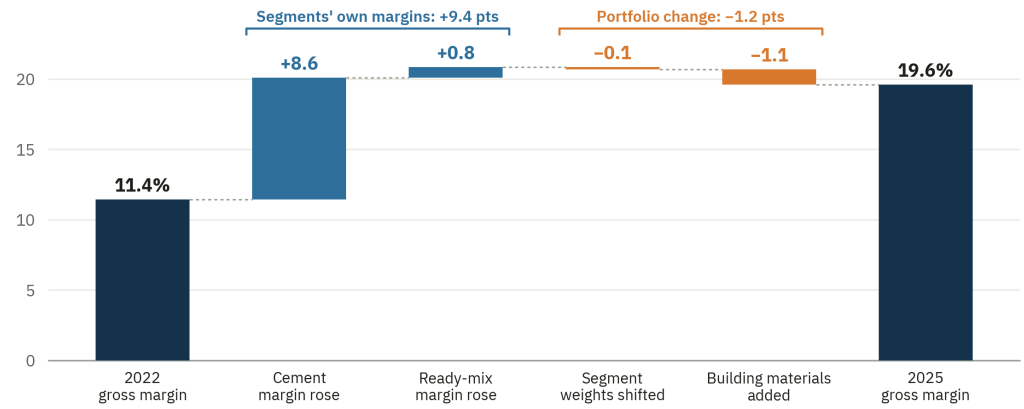
The margin recovery after 2022 came with lower energy costs in cement, not with the new portfolio

The portfolio change did not lift the average margin. Consolidated gross margin rose by 8.2 points between 2022 and 2025, from 11.4% to 19.6%. Breaking this down by segment (cement, ready-mix concrete and building materials) shows that almost all of the increase came with a better margin in cement itself: the cement margin rose from 11.5% to 21.3% and contributed 8.6 points (see Exhibit 7). The portfolio change contributed −1.2 points in total, most of it from building materials. That segment made up about a fifth of revenue in 2025, but its gross margin of 15% was below both cement (21%) and ready-mix (17%). It is also worth noting that 2022, the starting year, was an unusually weak year for margins because of the energy crisis.

Exhibit 7

Almost all of the 2022–2025 rise in gross margin came with a better cement margin; building materials pulled the average down

Consolidated gross margin (%). The bars in between split the 2022–2025 increase by source (percentage points).



Note: Shift-share decomposition with midpoint weights. Building materials contribution: 2025 revenue weight × (segment margin – weighted margin of the other segments). 2022 figures are taken from the 2023 report.

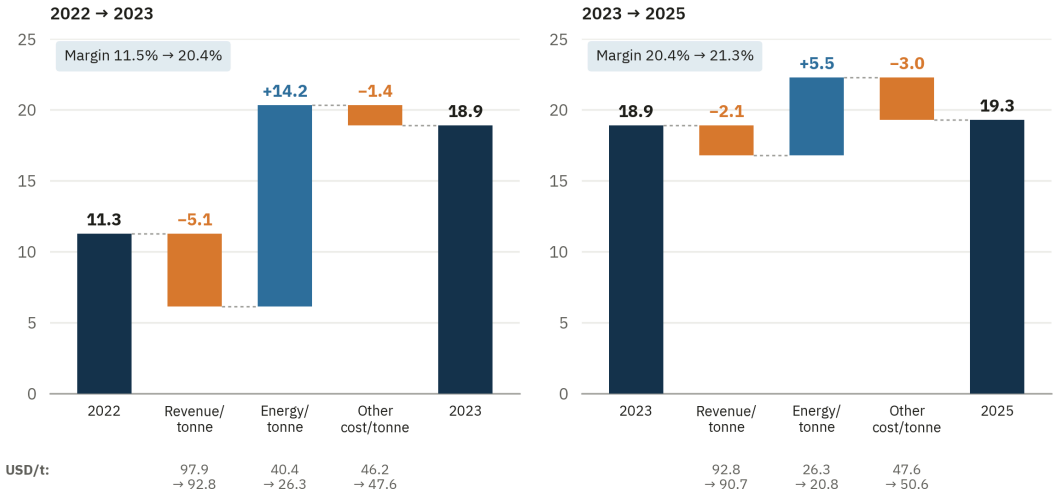
Source: Çimsa consolidated financial statements (KAP, 2016–2025); analysis.

The better cement margin came mostly with lower energy cost per tonne. On a per-tonne basis, gross profit in cement rose from USD 11.3 to USD 18.9 in 2022–2023, the period in which the margin jumped. Energy accounts for the increase: lower energy cost per tonne added USD 14.2 to gross profit. Revenue per tonne fell from USD 97.9 to USD 92.8 (see Exhibit 8), in a year when domestic cement demand was rising after the earthquakes; according to industry data, domestic consumption reached 64.9 million tonnes in 2023 and 70.8 million tonnes in 2024. Between 2023 and 2025, gross profit per tonne barely changed (+USD 0.4): lower energy costs only just offset the decline in revenue and the increase in other costs. Over the same period, cement producer prices lagged inflation, falling 15% in real terms in 2024 and 12% in 2025.

Exhibit 8

The improvement in cement margin came mostly with lower energy cost per tonne; revenue per tonne declined in both periods

Cement segment gross profit, USD/tonne; components of the change



Note: Left: both years from the 2023 report, on the same price and exchange-rate basis. Right: each year from its own report. Energy/tonne: group energy cost / cement and clinker sales volume.

Source: Çimsa financial statements and integrated annual reports (2023–2025); CBRT EVDS; analysis.

Most of the forces driving the margin lie outside the company's control. Price per tonne is largely set by the market, and it weighed on the margin in both periods examined. Energy cost, as Chapter 3 showed, also largely follows market prices. The unit costs the company can partly control (raw materials, labour, depreciation) rose slightly in both periods. In the two periods that can be measured, the margin improvement came mostly from a market-driven fall in energy costs rather than from the unit costs within the company's control.

The new businesses did not raise the overall gross margin, but they did shift revenue markedly towards foreign currencies: building materials contributed −1.1 points to the margin, while the share of revenue from outside Türkiye rose from 31% to 64%. No meaningful change was observed in margin volatility. The standard deviation of quarterly gross margin was 6.7 points in 2016–2019 and 5.9 points from late 2023 to 2025; the difference is small, and the recent period covers only nine quarters without a major shock. The effect of international white cement could not be measured separately, as it is reported within the cement segment.

5

Foreign revenue did not protect margins in currency shocks; currency risk moved to the overseas subsidiaries

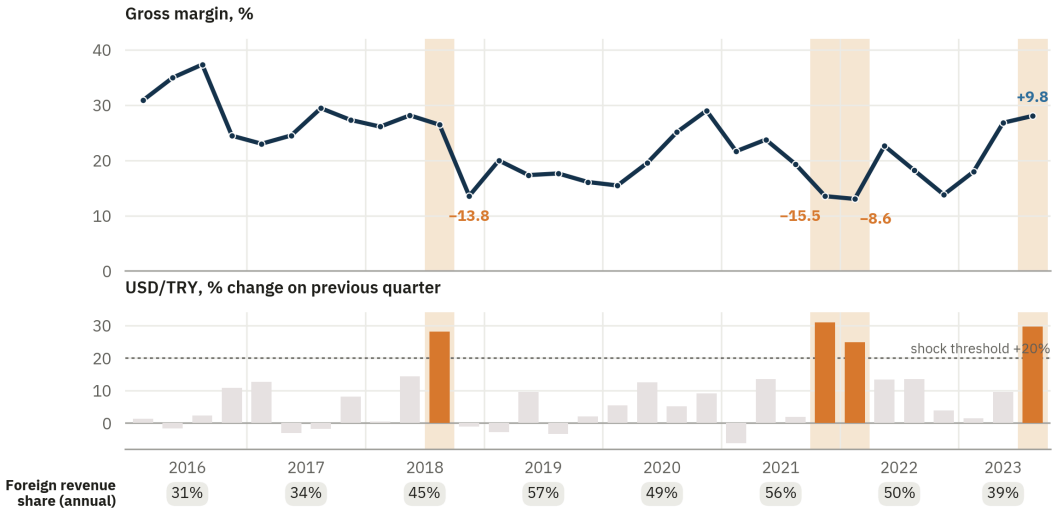
The share of foreign revenue increased. Foreign sales made up 31% of gross sales in 2016, rose to 45–57% in 2018–2021 and reached 64% in 2025. From 2024, the figure includes sales by overseas subsidiaries, so in recent years it is best read as revenue generated outside Türkiye rather than exports from Türkiye.

In currency shocks, however, gross margin fell sharply. Defining a shock quarter as one in which the average dollar exchange rate rose at least 20% on the previous quarter, the margin fell by 9–16 points year on year in each of the 2018 and 2021–2022 shocks, either in the shock quarter or the one that followed (see Exhibit 9). In 2018, the main decline came a quarter later, with the margin dropping to 13.6% in the fourth quarter (–13.8 points). In the third-quarter 2023 shock, by contrast, the margin rose (+9.8 points). Foreign revenue was not enough to prevent the margin from falling in shock quarters. There are also currency-linked items on the cost side, energy in particular, and because the 2021–2022 shock coincided with the energy crisis, the two effects cannot be separated.

Exhibit 9

In currency shocks, with foreign revenue at 45–56%, quarterly gross margin fell 9–16 points year on year

Quarterly gross margin (%) and quarter-on-quarter change in the average USD/TRY rate (%)



Note: Shock quarter: a quarter in which the average USD/TRY rate rose at least 20% on the previous quarter. Labels show the change in gross margin versus the same quarter of the previous year (percentage points). Foreign revenue share is annual.

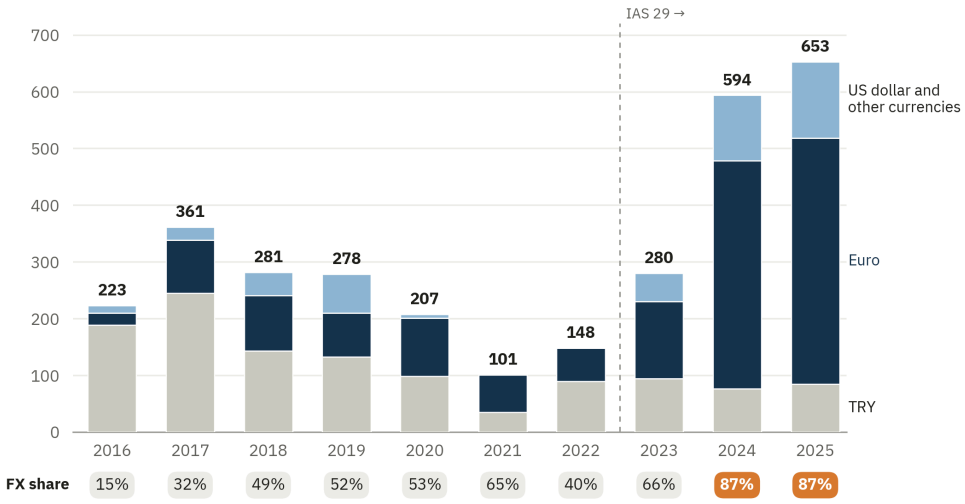
Source: Çimsa consolidated financial statements (KAP, 2016–2025); analysis. FX: CBRT EVDS.

Debt grew and moved largely into foreign currency. Total bank loans rose from USD 148 million in 2022 to USD 653 million in 2025, about 4.4 times as much. The foreign-currency share of loans went from 15% in 2016 to 87% in 2024–2025, and in 2025 the equivalent of USD 434 million was denominated in euros (see Exhibit 10). The jump in borrowing coincides with the Mannok acquisition.

Exhibit 10

Bank borrowing more than quadrupled between 2022 and 2025; 87% of it is now in foreign currency, mostly euros

Bank loans by currency, USD million (year-end rate)



Note: Excludes lease liabilities (IFRS 16). USD equivalents calculated at year-end exchange rates.

Source: Çimsa consolidated financial statements (KAP, 2016–2025); analysis. FX: CBRT EVDS.

Currency risk on the Turkish balance sheet declined. The net foreign-currency position of the Turkish companies was –USD 31 million (a net liability) in 2016; from 2017 it moved to balanced or net-asset territory, reaching +USD 20 million in 2025, with most foreign-currency liabilities covered by derivatives. The growth in foreign-currency debt has taken place outside this perimeter, in overseas subsidiaries whose revenues are in the same currencies.

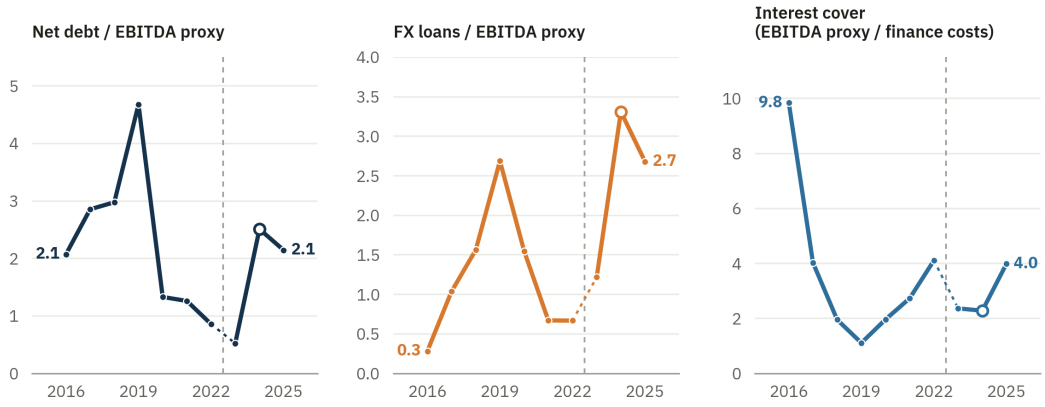
> Risk no longer sits as a currency gap on the Turkish balance sheet, but in the ability of the overseas businesses to carry their debt.

Overall leverage is at its 2016 level, but its composition has changed. Net debt to EBITDA proxy was 2.1 times in 2016, rose to 4.7 in 2019, fell to 0.5 in 2023 and returned to 2.1 in 2025. Over the same period, foreign-currency loans rose from 0.3 to 2.7 times the EBITDA proxy, the same level as the 2019 peak. Interest cover (EBITDA proxy divided by finance costs) fell from 9.8 to 4.0 times (see Exhibit 11). At group level, foreign-currency loans amount to 0.75 times annual foreign sales.

Exhibit 11

Overall leverage is back at its 2016 level, but the debt has shifted into foreign currency and interest cover has weakened

Debt capacity indicators, times



Note: EBITDA proxy: operating profit + depreciation and amortisation. Interest cover: EBITDA proxy / finance costs. Hollow circle (2024): Mannok's debt is fully included in the year-end balance, its profit only for the final quarter.

Source: Çimsa consolidated financial statements (KAP, 2016–2025); analysis. FX: CBRT EVDS.

That gross margin fell by 9–16 points in shock quarters even when foreign revenue was high indicates that foreign revenue was not enough to protect margins against currency shocks. The rise in foreign-currency debt is clear; what stands out is that this debt has built up not on the Turkish balance sheet but in overseas subsidiaries that earn revenue in the same currencies, while the Turkish balance sheet itself became more balanced over the period.

6

The transformation did not reduce risk; it moved it

Taken together, the findings show that the transformation redistributed the company's risk profile rather than reducing it (see Exhibit 12). The only risk that declined is the currency gap on the Turkish balance sheet. The risks that increased are foreign-currency debt, weaker interest cover and carbon costs: the Buñol plant in Spain and Mannok fall under the EU Emissions Trading System, and the company reported a carbon liability of TRY 2.66 billion as of 31 March 2025. Exposure to energy prices and physical energy intensity have not changed materially, and the change in margin volatility cannot yet be assessed with the available data.

Exhibit 12

The transformation did not reduce risk; it moved it: FX risk on the Turkish balance sheet fell, while FX debt and carbon exposure rose

Risk areas before and after the transformation

Risk area	Before	After (2025)	Direction	Exhibit
Energy – cost share	33–36% (2016–2019)	21%; half of the decline from a larger cost base, ~4 points from reclassification	Unclear	3, 4
Energy – price and intensity	USD 16/t clinker (2016–2020 avg.); 1.11 MWh/t (2020)	USD 27/t clinker; 1.15 MWh/t; price tracks the market with a lag	Unchanged	5, 6
FX – revenue side	Foreign sales share 31% (2016)	64% (incl. foreign subsidiaries); margin still fell in shocks	Unclear	9
FX – Turkish balance sheet	Net FX position –USD 31 million (2016)	+USD 20 million; FX liabilities covered by derivatives	Lower	–
Debt – leverage and currency	Net debt/EBITDA 2.1; FX share of loans 15%	Net debt/EBITDA 2.1; FX share of loans 87%	Higher	10, 11
Debt – carrying capacity	FX loans/EBITDA 0.3; interest cover 9.8	FX loans/EBITDA 2.7; interest cover 4.0	Higher	11
Margin volatility	Quarterly gross margin std. dev. 6.7 pts (2016–2019)	5.9 pts (Q4 2023–Q4 2025; 9 quarters, no major shock)	Unclear	–
Carbon	EU ETS exposure not measured (operations mainly in Türkiye)	Buñol and Mannok under EU ETS; ~TRY 2.66 billion carbon liability	Higher	–

Note: Before: 2016 (2016–2019 for energy share and margin volatility). After: 2025 (Q4 2023–Q4 2025 for margin volatility). The carbon liability is as of 31 March 2025 and belongs to CBS B.V.

Source: Exhibits 3–11; Çimsa Q1 2025 financial statements (short-term provisions note, carbon liabilities); analysis.

Resilience to currency shocks improved, but only on the Turkish balance sheet. The Turkish companies are no longer positioned to lose from a weaker lira. Yet margins still fell in shock quarters, and the group's foreign-currency debt has accumulated in the overseas subsidiaries.

Resilience to energy shocks did not improve. Exposure to energy prices and physical energy intensity are unchanged. The fall in energy's share came mainly with lower prices, a wider cost base and a change in classification.

Risk has shifted to the balance sheet. The foreign-currency share of loans rose from 15% to 87%, foreign-currency loans grew from 0.3 to 2.7 times the EBITDA proxy, and interest cover fell from 9.8 to 4.0 times. Foreign-currency loans equal 0.75 times annual foreign sales. The real test of the transformation will be the full-year cash flow of the overseas subsidiaries that carry this debt, which public data cannot yet measure.

7

The outcome will be decided by the overseas businesses in the years ahead

This review sets out the financial footprint of the transformation's first decade using public data. The real test is still under way: 2025 was Mannok's first full year in the group, and most of the group's foreign-currency debt depends on the cash flows of the overseas businesses. Two kinds of work could complete the picture.

Indicators that can be tracked from the outside

- **Foreign-currency loans to EBITDA proxy.** Whether the ratio of 2.7 times comes down is the most direct sign of whether the overseas businesses can carry their debt from their own earnings.
- **Building materials margin.** Whether the segment's margin converges with cement will determine the portfolio change's contribution to profitability.
- **Energy cost relative to the market.** While market prices stay low, whether Çimsa's energy cost moves back towards the market index.
- **Carbon liability.** The size of carbon costs at the EU plants and their weight on profitability.

Questions that internal data could answer

- What are the structure, tenor and pricing formulas of the energy supply contracts, and do they explain why energy costs follow the market with a lag?
- What is the actual unit cost of petcoke and of alternative fuels, and at what prices do alternative fuels make economic sense?
- What are energy costs and consumption by segment, and how much of the fall in energy's share comes from the portfolio change?
- What are the full-year cash flows and debt service capacity of Mannok and SBS?
- How did the currency mix of revenue change during shock quarters?

Appendix: Data and methodology

This review relies solely on public data: Çimsa's 40 quarterly and annual financial reports for 2016–2025 (Public Disclosure Platform, KAP), its 10 integrated annual reports, exchange rate and inflation series from the Central Bank of the Republic of Türkiye (CBRT EVDS), electricity market prices from EPİAŞ, coal prices from the World Bank and the cement producer price index from TurkStat. The notes below set out the rules followed in preparing the report and the main data decisions.

1 Period and scope

The 2013–2015 financial reports are scanned images and could not be read as text, so the analysis covers 2016–2025. An assessment of the price paid for Mannok and a comparison with other cement producers were outside the scope. As a result, counterfactual questions, such as how margins would have moved without foreign revenue, cannot be answered.

2 Each year from its own report

Each year's figures are taken from that year's own report; restated figures in later reports are kept separately. Restatements mostly reflect changes in scope or in line-item definitions. For example, 2022 appears in its own report with revenue of TRY 8.6 billion and a gross margin of 17.2%, but in the 2023 report, after inflation adjustment and the inclusion of SBS, with revenue of TRY 20.8 billion and a gross margin of 11.4%. Restated figures are used only for comparisons within the same report (for example, 2022–2023 in Exhibit 8).

3 Inflation accounting (IAS 29)

From the 31 December 2023 report onward, amounts are stated in the purchasing power of the reporting date. Figures for 2016–2022 (nominal) and 2023–2025 (IAS 29) are treated as separate series: levels are compared only within a series, while ratios and dollar equivalents are used across series. Where different IAS 29 reports are compared, amounts are brought to the same purchasing power using CPI (for example, December 2025 prices in Exhibit 4).

4 Units and exchange rates

Reports up to 2022 are in TRY and from 2023 in thousands of TRY; all amounts were converted to TRY. Because the exchange rates quoted in the reports are not consistent across years (the 2020 average USD/TRY rate, for example, is given as 6.98 in one report and 6.73 in another), all conversions use CBRT EVDS buying rates: the annual average in nominal years and the year-end rate in IAS 29 years. Converting IAS 29 amounts at the year-end rate slightly overstates dollar figures when inflation outpaces depreciation during the year (an estimated ~1% in 2023, ~6% in 2024 and ~2% in 2025); this does not change the direction of any result.

5 EBITDA proxy

Operating profit plus depreciation and amortisation. This is not the EBITDA figure reported by the company; it was chosen because it can be calculated on the same definition for all ten years. Finance costs used in the interest cover ratio may include foreign exchange losses.

6 Energy market index and base year

The market index combines the coal price (World Bank; average of Australia and South Africa) and the Turkish day-ahead electricity price (PTF, EPİAŞ), weighted each year by electricity's share of energy consumption (9–11%). As the company's main fuel is petcoke and no free petcoke price series is available, coal serves as an approximate benchmark; the electricity market price is likewise not the company's actual purchase price. The base year is 2021 = 100, because coal prices were unusually low in the 2020 pandemic year. With 2020 = 100, the 2022 pattern is unchanged, but Çimsa appears roughly in line with the market in 2024–2025; the report therefore presents the pattern that holds on both bases, a lagged and smoothed tracking of the market.

7 Physical energy data

Total energy consumption in the 2016–2019 integrated reports is defined differently from later years and was not used; the physical analysis is limited to 2020–2025. Clinker production for 2023 is taken from the total line of the report (4.97 million tonnes); the sum of its components in the same report is 5.35 million tonnes, which would put 2023 energy intensity at about 1.19 rather than 1.28 MWh per tonne. The 2025 production table excludes Mannok.

8 Reclassification of energy cost

The 2025 report moved about 13.5% of 2024 energy cost into "other production costs". As the 2025 figure on the old classification is not reported, the same ratio is assumed for 2025. The change alone lowers energy's share by about 4 points; it does not affect gross margin.

9 Segment data

The international white cement operations (SBS) are reported within the cement segment, so their effect could not be measured separately. The 2019 segment data point to a change in internal transfer pricing (the ready-mix margin is 29.5% in that year's own report and 3% in the following year's); the 2019 sales volumes are also inconsistent and were excluded from the per-tonne analysis.

10 Per-tonne indicators

Volumes for 2016–2023 are the sum of grey and white cement, calcium aluminate cement and clinker sales; for 2024–2025, total cement sales as reported (including clinker). Energy cost per tonne is approximate: as energy costs are not reported by segment, the group energy cost is used.

11 Quarterly series and definition of a currency shock

Quarterly figures are derived from the differences between cumulative interim reports; for the second and third quarters, the reports' own "last three months" columns are used. A shock quarter is one in which the average USD/TRY rate rose at least 20% on the previous quarter. The quarterly series covers the nominal period only (Q1 2016 to Q3 2023).

12 Debt and currency position

Lease liabilities (IFRS 16) are excluded from the analysis of bank loans; net debt includes them. The currency position table covers only the Turkish companies. The 2018 net currency position is taken from the comparative figure in the 2019 report because of an internal inconsistency in the 2018 report.

13 Mannok and consolidation

Mannok has been consolidated since 1 October 2024; in 2024, its debt is fully included in the year-end balance but its profit only for the final quarter. 2024 debt ratios may therefore be overstated, and 2025 is used as the main post-transformation year. All figures are consolidated; Çimsa holds 68.31% of CBS, the company that owns Mannok.

Sources

- Çimsa Çimento Sanayi ve Ticaret A.Ş., quarterly and annual financial reports, 2016–2025 (Public Disclosure Platform, KAP).
- Çimsa Çimento Sanayi ve Ticaret A.Ş., integrated annual reports, 2016–2025.
- Central Bank of the Republic of Türkiye, Electronic Data Delivery System (EVDS): exchange rates, consumer price index, domestic producer price index (cement, lime and plaster).
- EPİAŞ Transparency Platform: day-ahead market clearing price (PTF).
- World Bank, Commodity Markets "Pink Sheet": coal prices (Australia, South Africa).